

# ***Progressivism's End***

**In Obama, both Americans and Canadians can see the promise of something new**

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A recent poll found that a substantial majority of Canadians want Barack Obama to be the next U.S. president. More surprisingly, another found that if Obama were the leader of the Liberals or Conservatives in Canada, he would win decisively.

There is no doubt he is exciting. He is a charismatic, skilled orator who has embraced Facebook politics to astonishing effect. His political skills and acumen have driven a meteoric rise. He is a respite from George W. Bush, the Iraq war and neo-conservatism.

All of these qualities, however, distract from a greater phenomenon, one for which Obama seems as much a product as a catalyst. His candidacy suggests a political reconfiguration may be under way: Obama's successes provide an insight into the post-boomer era and the opportunity to transcend the divisive politics of the 1960s.

## **How the Left Is Killing Progressivism**

Confronted with parties whose politics, policies and priorities are perceived as out of touch and ineffective, many of our friends and colleagues have opted out. Few even vote.

But they are engaged. They start non-governmental organizations, work internationally, create social enterprises, start businesses or advocate outside of organized politics. Among our peers, the progressive spirit is strong, but progressive politics just does not resonate. How did this happen?

The answer is surprising. It is not a vast right-wing conspiracy that is killing progressivism. It is the left.

The rise of industrial capitalism during the 19th century led to a series of tense societal changes. These included the emergence of an urban working class, increasing inequality and the new possibility of total war. In response, three generations of pragmatically driven "progressives" emerged. Opposing both the socialist left and the laissez-faire right, they championed values such as equality of opportunity, meritocracy, government transparency and empirical inquiry. And the norms, policies and institutions they developed served as the main instruments for addressing many of the 20th century's seemingly insurmountable challenges: liberal internationalism through the Bretton Woods institutions and the United Nations, middle class entitlements such as social security and medicare, and the advancement of individual rights through the suffragist and civil rights movements. In Canada, progressive ideas likewise drove Mackenzie King, Lester Pearson, Tommy Douglas and Pierre Trudeau.

By the 1960s and early '70s, the New Deal consensus began to unravel in the face of political crises such as Vietnam, economic crises such as the oil shocks, globalization and the rise of the service economy. Stagflation and the erosion of manufacturing jobs raised questions about the viability of the progressive agenda and opened it up to conservative attack.

Seeing their hard-fought accomplishments under threat, traditional baby boomer progressives began to prioritize the survival of New Deal policies and institutions over the idealistic outcomes they were built to promote. Thus the central paradox of progressivism was born: its older-style advocates, entrenched against innovation and reform, even in the service of progressive values, had unwittingly become the new conservatives.

### **The Rebirth of Progressivism**

Nevertheless, renewal is afoot. Many of our peers who have not found a natural home on the left or the right of traditional politics are increasingly returning to the core values of historical progressivism, using evidence-based public policy to help ensure the equality of opportunity in a market-based economy. They are frequently members of Richard Florida's "creative class" — wired cosmopolitans who work in idea-driven industries — who have begun experimenting with how forces such as technology and globalization can enable a New Deal for the 21st century.

But while traditional progressives promoted their values to smooth the transition from agrarian to industrial capitalism and to spread the latter's benefits, these neo-progressives seek to manage the shift from the industrial to the knowledge economy. Herein lies the gap, the political implications of which Florida captures nicely. He describes creative classers as attracted to the "traditional Republican platform of individualism, economic opportunity and fiscal responsibility" but also to the "Democratic values of social liberalism, environmentalism and a progressive track record on gay and women's rights". ((Richard Florida (2008), "Obama and the Creative Class," *Creative Class*, March 29.)) According to a recent Zogby poll, they overwhelmingly support Obama. Admittedly, what we have described so far as neo-progressivism has parallels to Third Way liberalism. Both developments share progressive values and recognize the importance of efficient governance and markets.

But Third Way efforts were often partisan, top-down attempts by the governing left to create a new political movement, meaning they lacked a grassroots base. In addition, once in office the Third Way's greatest proponents (Tony Blair and Bill Clinton) connected it to "triangulation" — finding a point of compromise between the traditional positions of the left and right, to maximize overall appeal. In contrast, novel experimentation, rather than compromise, is neo-progressivism's hallmark.

In some ways the Third Way was the dying gasp of the baby boomer centre left. At the same time, it was an acceptance that something new was possible, and needed.

This is where the neo-progressives find themselves. In particular, they are adopting three approaches for promoting progressive values in a post-industrial economy: a focus on a culture of outcomes, a shift from hierarchical to decentralized organizations and the use of markets as a progressive policy tool. And each approach is evident in Barack Obama's political style.

Modern U.S. politics emerged from the throes of the Vietnam war and has now descended into a state of frenzied ideological division, exemplified by the right's impeachment of Bill Clinton and the left's visceral hatred of George Bush. Today's polarized partisan language and culture of spin too often feel divorced from the pragmatic goals of neo-progressives.

Obama did not come of age in the 1960s and does not identify with these fights. This allows him to make two shifts.

First, he can create space to constructively discuss issues generally considered out of bounds, whether on the left (such as homophobia within the black church) or the right (such as racial injustice in America).

Second, a focus on progressive outcomes enables Obama to step out of the confines of Democratic orthodoxy and draw on workable ideas from across the political spectrum. Take his approach to education reform. When in the Illinois legislature, he championed a combination of charter schools and universal preschool, policies originating from opposite ends of the political spectrum. Since then he has critiqued both the left and the right's approach to reform. "Like most ideological debates," he stated in a 2005 speech, "this one assumes that there's an 'either-or' answer to our education problems. Either we need to pour more money into the system, or we need to reform it with more tests and standards. But we don't make much progress for our kids when we constrain ourselves like this." ((Barack Obama (2005), "Teaching Our Kids in a 21st Century Economy." Remarks prepared for the Center for American Progress, October 25. ))

Moreover, Obama seems to intuit the 21st century's new organizational reality. As noted cyber law expert Lawrence Lessig explains, "Barack recognizes that people in Silicon Valley are not just talking about a set of technical questions. It's a broader generational issue of how to architect and orient the government on important issues, from privacy to security to competition, in ways that open up the process to everyone." ((Quoted in Joshua Green (2008), "The Amazing Money Machine," The Atlantic, June. ))

New Deal institutions are characterized by their hierarchical structure. At the heart of virtually all of them lies a centralized administration allocating resources. While command-and-control bureaucracies were a productive development in industrial economies, this organizational model is profoundly ill suited for the globalized knowledge economy. New information technologies mean the costs of democratically affiliating, mobilizing and organizing people and co-creating and distributing ideas have never been cheaper. More importantly, diversity and freedom — not control — drive innovation in a networked world.

Recognition of this shift seems like a defining characteristic of neo-progressives. As a result, more often than not, they innovate from outside the public sector, and rarely within political parties. This is not to say that, like libertarians, they see no role for government; instead, neo-progressives are impatient and want to be where they can experiment and have an impact. The current structure of large bureaucracies, both private and public, often makes this difficult.

Obama's internet strategy, designed in part by Chris Hughes, a 24-year-old Silicon Valley entrepreneur and the co-founder of Facebook, reflects this new approach: in addition to raising vast sums of money, it has already transformed politics in two ways.

First, it has further democratized the election process. It used to be that only large corporations and wealthy donors could influence leaders through contributions. It is now possible to raise smaller amounts of money from many more people, freeing the candidate from potentially corrupting backroom fundraising. In February, Obama raised us\$50 million without going to a single rubber chicken dinner.

Second, Obama's strategy creates a network of people directly and meaningfully invested in his campaign. The millions of visitors to mybarackobama.com are encouraged to use, remix and contribute to the Obama message, which in turn facilitates its breadth and scope. They are given some control and made to feel ownership over the very identity of the campaign. During the primaries alone, 30,000 completely independent Obama events were organized through the website. This is not command-and-control politics. It represents a decentralization of governance that is a harbinger of things to come: Obama's online network was leveraged to assist victims of last spring's midwestern floods.

Finally, Obama's policies seem to reflect a characteristically neo-progressive attitude toward markets. As progressivism became increasingly synonymous in the public's mind with the left, it became associated with controlling market forces. This was not always the case, with the original progressives opposing both the more radical socialists and communists who sought to overthrow the capitalist system and the laissez-faire conservatives who were fighting for unfettered market freedom — whatever the social costs.

The central challenge confronting neo-progressives is similar. Working with new models and modes of production, they are asking how to enable, rather than disable, the market for progressive ends. This means ensuring fair access to the market and aligning progressive policy programs with market interests. Obama is doing both.

On the North American Free Trade Agreement, for instance, Obama wants neither to end nor to water down the agreement, unlike Clinton's protectionist stance. Obama intends to enhance it by incorporating more labour and environmental standards — something progressive Canadians have sought for years. Similarly, he responded to General Motors and Ford's near bankruptcy in 2005 with his "Health Care for Hybrids" proposal, which capitalized on market incentives by linking improved fuel efficiency to relieving the healthcare costs of automakers.

Obama recognizes that giving voice to a neo-progressive agenda holds the potential to form the core of a new governing coalition. Like progressives at the turn of the 20th century, he not only speaks to Democrats but also actively reaches out to pragmatically driven Republicans and independents. Specifically, he appeals to those who neither fear markets nor see government as a panacea, but who value a society that provides equal opportunity. Obama is not governing from the middle: he is capitalizing on a transformation of the ideological spectrum.

A Neo-Progressive Canada?

Obama did not create neo-progressivism; neo-progressives have enabled Obama. Consequently, a Canadian quest for our Obama simply confuses cause and effect.

Canadians, with their high average levels of education, dependency on trade and multicultural outlook, intuit neo-progressivism. Neo-progressives are already among us.

Their rich diversity and common cause are apparent in the figures of Tzeporah Berman, Dan Florizone and Calvin Helin, whose approaches to some of Canada's most vexing policy challenges seem to transcend the conservatism of both the right and left.

## **Environment**

Canadians consistently rank the environment as one of Canada's top priorities. This creates tension in an economy that depends significantly on natural resource extraction. Despite the public's desire, Canadian companies, and the federal and provincial governments, have been slow in transitioning this sector toward a sustainable model. Enter Tzeporah Berman and ForestEthics.

In 1993 Tzeporah Berman helped coordinate the logging blockades in Clayoquot Sound. She was arrested and faced more than 900 criminal charges and up to six years in jail. She received death threats and was run off the road and her home in Vancouver burned down under unknown circumstances. However, on June 16, 1999, protestors, logging companies and the local First Nations representatives agreed to protect some of the world's most spectacular old growth.

Had Berman been born even 20 years earlier it might have been obvious for her to pursue a law degree, run for office or join the public service. Instead, she founded ForestEthics, a revolutionary non-profit organization that bypasses government altogether and leverages the power of both protestors and market forces to achieve radical environmental change.

Unlike traditional progressives who seek to curb the power of corporations, ForestEthics uses market forces to achieve its ends. First, it identifies corporations — such as Victoria's Secret, with its vast catalogue distribution — whose consumption of paper products endangers forests. It then offers these corporations a choice: cooperate with ForestEthics to reform their practices or face painful protests and boycotts. For those that cooperate, ForestEthics works with the multinational's procurement department to help it adopt more sustainable practices. This gives ForestEthics direct influence over the forestry industry, which must therefore pay attention to its largest customers.

In short, ForestEthics co-opts the purchasing power of the world's largest multinationals, transforming it into a tool for reshaping the forestry industry.

## **Health Care**

There is wide agreement that the healthcare system is badly stressed and faces even greater challenges with the arrival of the "silver tsunami" — the retiring baby boomers who are entering their most expensive healthcare years.

But the debate over solutions is now mired in nationalism and the false choice of the status quo versus privatization. This produces ideological debate often divorced from improving outcomes — the very issue about health care that matters to voters. Worse, this polarization is fostered by traditional progressives, who regularly employ a Bush-style tactic: anyone who challenges the status quo is labelled unpatriotic or "anti-Canadian."

There are, however, Canadians trying to reconnect the discussion of system and outcomes. Dan Florizone, the CEO of Five Hills Health Region in Saskatchewan, is wrestling with how to survive rising costs. To solve this problem, he has joined the push from within the healthcare system for reforms based on lean manufacturing techniques pioneered by Toyota in the 1950s — and he is doing it in the birthplace of universal healthcare. What is important about this approach is that it is neither expensive nor grandiose. Instead it is about learning to do thousands of small things better.

Much like Toyota did with its workers, Florizone is hoping to turn every healthcare worker under his watch into a process engineer. He is asking each of them to determine when and where there is waste — lost time waiting, needless forms or procedures, or errors that frequently require fixing — and then empowering them to change the processes that create that waste.

Through these techniques, Toyota succeeded in transforming what were 19th-century industrial jobs into 21st-century creative, knowledge-sector jobs. The end result was a higher quality output, done at lower costs, with improved job satisfaction. By replicating this approach in health care, Florizone is already seeing some success, so much so that he has set the target of generating a 1 percent savings every year, even as the number of older and more expensive patients his employees treat increases.

### **First Nations Governance**

Today, despite the billions of dollars that have been invested, an unacceptably high number of First Nations people continue to live at or below the poverty line. As John Stackhouse wrote about Canada's reserve system in *The Globe and Mail*, "if apartheid were measured by results rather than intent we [Canada] would have it." Calvin Helin, a First Nations lawyer, entrepreneur and Top 40 Under 40 recipient from British Columbia, is increasingly convinced that First Nations elites, risk-averse bureaucracy, and profit-seeking lawyers and consultants are only reinforcing these conditions. Indeed, he goes so far as to talk of a dependency industry that reinforces the economic isolation that resulted from colonization and the limited status of indigenous peoples under the Canadian constitution and the Indian Act.

In short, Helin has given up on non-indigenous people's capacity to help resolve First Nations problems, after two centuries of top-down, hierarchical approaches. As a result he is pushing two important debates within First Nations communities: first, how to enable self-reliance by reconciling the free market with indigenous history and traditions and, second, how can indigenous people ensure that a cycle of dependency on the Canadian state is not replaced by one on local band councils. These debates are deeply cultural and controversial. Helin's call for more accountable councils and the entrance of First Nations into the free market has made him unpopular in many circles — particularly with the Assembly of First Nations.

However, his arguments barely register outside of indigenous communities. As Helin notes in his recent book *Dances with Dependency*, “aboriginal people are reluctant to speak publicly about these issues [poor governance] because they do not wish to provide grist for the political right in Canada who many feel are racist, and have no real interest in actually trying to make the situation better.” Of course, non-indigenous people are also at fault, being “reluctant to raise this issue as well because, in the current climate of political correctness, they might automatically be labelled as racists.” Helin is trying to shift the discourse by saying what, until now, no one has felt could be stated publicly. With a phrase that could almost be pulled from Obama’s speech on race in Philadelphia on March 18, 2008, Helin concludes that “usually when this matter [of governance] is raised publicly, there are entrenched positions on both sides of the debate and little communications as to how to solve these problems.”

#### Conclusion

Does Barack Obama provide a glimpse of a potential bold new vision for Canadian politics? Possibly. There is likely as strong an appetite for change here as there is in the United States. But change — embracing new approaches — requires a painful process of introspection and a willingness to let go of past battles and ideologies. This is in part what the U.S. primaries were about: a battle between progressives and neo-progressives over the immediate future of the Democratic party.

It is unclear whether any Canadian party is currently able to have this discussion. The political landscape is limited. The Progressive Conservatives are gone, and the NDP, because of its statist model, and Liberals, because of their years in power, remain caught in the progressive paradox — more often than not defending old institutions and approaches.

Getting out of that paradox remains a dilemma. Perhaps some northern messiah will emerge, but the political landscape may be harder to change in Canada: unlike here, America has sequential party primaries where a relative outsider can, with an early win, create the momentum necessary to take over.

What is clear is that Canadian neo-progressives are not waiting for traditional political representation. Their ideas and approaches are, whenever possible, circumventing political parties and even government — a development these institutions should heed as a wake-up call, if they want to remain relevant in the 21st century.